

Deepak Gupta v. State of U.P.

High Court of Judicature at Allahabad · Division Bench · 15 June 2022 · Writ-C No. 17081 of 2022 · Writ-C No. 17081 of 2022 · Demand treated as provisional assessment; objections and statutory final assessment directed; coercive recovery stayed.

HEADNOTE

An inspection-based demand for electricity charges issued as a concluded assessment, without a prior provisional-assessment notice or opportunity to explain, was not quashed. On the licensee's concession, the High Court treated the demand as a provisional assessment, directed the consumer to file objections within two weeks, and required the assessing authority to complete final assessment under the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005, staying coercive recovery until then.

FACTUAL SUMMARY

Deepak Gupta assailed a 28 February 2022 demand of Rs. 43,69,122 for electricity charges after an inspection of his premises on 26 February 2022. The notice required deposit, failing which recovery under section 3 of the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958 was threatened. He said no provisional-assessment notice was served and no explanation sought. Counsel for the licensee respondents did not support the order and said objections treating the notice as a provisional assessment would be considered.

HOLDING-UNITS

INTERPLAY · EA2003::126

provisional-and-final-assessment

HOLDING

Where an inspection-based electricity-charges demand is issued as a concluded assessment without a prior provisional-assessment notice or opportunity to explain, and the licensee does not support it as a final order, the demand is to be treated as a provisional assessment; the consumer may file objections and the assessing authority must then complete final assessment under the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005, with no coercive recovery on the notice until that final assessment. ¶ 1

FLAG Order does not cite s.126 or a Supply Code clause; it directs final assessment under the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005.

PRINCIPLE TAGS

provisional-assessment-without-prior-notice The 28 February 2022 demand, issued two days after inspection without a provisional-assessment notice or explanation, was treated as a provisional assessment; objections were to be filed and final assessment completed under the Act and the 2005 Code. ¶ 1

coercive-recovery-stayed-pending-final-assessment Coercive measures on the impugned notice, including threatened recovery under the 1958 Dues Recovery Act, were stayed until final assessment. ¶ 1

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — LEGALITY AND QUANTUM OF THE RS. 43,69,122 DEMAND

Writ disposed without examining the inspection or the assessment on merits; final assessment left to the statutory process. ¶ 1

NOT DECIDED — WHETHER THE 28 FEBRUARY 2022 ORDER WAS LIABLE TO BE QUASHED

The demand was not quashed; it was treated as a provisional assessment on the licensee's concession. ¶ 1

